

The term "business" refers to an organization or enterprising entity that engages in commercial, industrial, or professional activities. The purpose of a business is to facilitate some sort of economic production of goods or services. Businesses can be for-profit entities or nonprofit organizations fulfilling a charitable mission or furthering a social cause. Businesses range in scale and scope from sole proprietorships to large, international corporations. Business also refers to the efforts and activities undertaken by individuals to produce and sell goods and services for profit.

The concept of a business begins with an idea and a name, and extensive market research may be required to determine how feasible it is to turn the idea into a functioning business.

Businesses often require business plans before operations begin. A business plan is a formal document that outlines the company's goals and objectives. It lists the strategies and plans to achieve these goals and objectives. Business plans are essential when you want to borrow capital to begin operations.

Legal Structure: Determining the legal structure of the business is an important factor to consider, since business owners may need to secure permits and licenses and follow registration requirements to begin legal operations. Corporations are considered to be juridical persons in many countries, meaning that the business can own property, take on debt, and be sued in court.

Profit vs Non-profit: Most businesses operate to generate a profit, commonly called for-profit. However, some businesses that have a goal to advance a certain cause without profit are referred to as not-for-profit or nonprofit.

These entities may operate as charities, arts, culture, educational, and recreational enterprises, political and advocacy groups, or social services organizations.

Business activities often include the sale and purchase of goods and services. Business activity can take place anywhere, whether that's in a physical storefront, online, or on the roadside. Anyone who conducts business activity with financial earnings must report this income to the Internal Revenue Service (IRS). A company often defines its business by the industry in which it

operates. For example, the real estate business, advertising business, or mattress production business are examples of industries. "Business" is a term often used to indicate transactions regarding an underlying product or service. For example, ExxonMobil conducts its business by providing oil.

How Do You Start a Business? There are several steps you need to hurdle to start a business. This includes conducting market research, developing a business plan, seeking capital or other forms of funding, choosing a location and business structure, picking the right name, submitting registration paperwork, obtaining tax documents (employer and taxpayer IDs), and pulling permits and licenses. It's also a good idea to set up a bank account with a financial institution to facilitate your everyday banking needs.

How Do You Write a Business Plan? Business plans are essential to running your business and can help you secure the funding you need to start your operations. You can choose between a traditional or lean plan. A traditional business plan has a lot of details, including a summary of the company, how it plans to succeed, market information, management, products and services, marketing, and sales projections. Lean formats are concise with very useful information such as partnership details, outlines of the business activities and customer relationships, cost structures, and revenue streams. Templates are available online or you can design your own business plan.

Examples of Well-Known Businesses:

Apple (AAPL) is known for its innovative products, including its personal computers, smart devices, and music and video streaming services. The business was founded in 1977 by Steve Jobs and Steve Wozniak. In 2018, Apple became the first publicly-traded company whose value hit \$1 trillion. In March 2026, its market capitalization was \$3.68 trillion. The company claims job creation for over two million people, including 80,000 individuals who work directly for Apple and 450,000 jobs held by suppliers and manufacturers. The App Store has generated more than 1.5 million jobs. The company reported net sales of \$416.16 billion for the 12 months ending Sept. 27, 2025. Apple's key to success lies in its family of products and its ability to innovate. The company focuses on design and quality—two key elements that were a key part of Jobs' corporate vision. The products that Apple creates and markets can have the same operating

system, which allows consumers to sync all of their Apple devices. This lowers corporate costs and satisfies customers. Apple's ability to create, develop, and market new products and services also put it ahead of its competition.

Walmart (WMT) is one of the world's largest retailers and operates as a multinational corporation. The company was founded in 1962 by Sam Walton in Arkansas. It has nearly 11,000 locations in more than 19 countries and employs over 2.1 million people. The company went public in 1970 and trades on the New York Stock Exchange (NYSE). Walmart stock had a market cap of \$1 trillion in March 2026. The company earned \$680.98 billion in total revenues for the 2025 fiscal year, which was an increase of 5.0% year-over-year. Walmart's success can be attributed to several factors, including its brand name, pricing, diversification (especially with the addition of its online marketplace), efficient supply chain management, and its financial strength.